

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Winter 2021
Module Code	AC2204
Module Title	INTRODUCTION TO MANAGEMENT ACCOUNTING
Paper Number	1
External Examiner	Professor Ivo De Loo
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Dr Margaret Healy
Instructions to Candidates	Answer three questions in total. Please attempt QUESTION ONE from Section A and TWO questions from Section B.
Duration of Paper	1.5 hours
Special Requirements	Show your workings; marks will be awarded for workings.

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SECTION A: COMPULSORY

QUESTION ONE

Crafts Ltd commenced operations on Jan 1st 2020. Currently a single product is manufactured and sold. The following information is available for the year to 30th December 2020.

Sales (in units)	2,000
Selling price per unit	€35.00
Production (in units)	2,800
Variable manufacturing expenses (total)	€61,600
Fixed manufacturing expenses (total)	€14,280
Variable selling expenses (total)	€10,000
Fixed selling expenses (total)	€5,000

Required:

- (A) Calculate the unit product cost, the value of closing stock and the operating profit using each of the following methods:

- (i) Marginal costing;
- (ii) Absorption costing.

(18 marks)

- (B) The Managing Director at Crafts Ltd has asked for more information about your answers in Part A above. In particular, he does not understand how there can be two different stock values reported for the same period and wishes to know which is the 'right' figure. Prepare a short note, including a reconciliation of the profit figures, which addresses this query.

(10 marks)

- (C) Management at Crafts Ltd is undecided about choosing between marginal costing and absorption costing. Discuss two arguments in support of the use of **each of the** methods.

(12 marks)

(Total: 40 marks)

SECTION B
ANSWER ANY TWO QUESTIONS

QUESTION TWO

Management at Electro Ltd are concerned about the information on product costs generated by the conventional (absorption) costing system currently in use at the organization. The following data has been accumulated and you have been asked to investigate.

	Total units produced	Material costs per unit	Machine hours per unit	Labour hours per unit
Product A	1,000	€15	1 hour	1 hour
Product B	900	€18	2.25 hours	0.5 hour
Product C	300	€26	0.5 hour	3 hours

Direct labour costs €26 per hour and production overheads are absorbed in the conventional system on a machine hour basis at a rate of €48 per machine hour. The total production overheads (€152,400) can be divided as shown below.

Costs relating to maintenance	30%	[Cost driver: Machine hours]
Costs relating to production scheduling	25%	[Cost driver: Set-ups]
Costs relating to quality	30%	[Cost driver: Units]
Costs relating to materials handling	15%	[Cost driver: Purchase orders]

Activity volumes for the financial period are detailed in the next table.

	Total purchase orders	Total set-ups
Product A	5	5
Product B	5	9
Product C	10	6

Required:

- (A) Calculate the total costs and the cost per unit for each product, using:
- (i) Conventional (absorption) costing, with production overheads allocated based on machine hours;
 - (ii) Activity-based costing, with production overheads allocated based on the cost drivers listed in the question.
[Please show your workings clearly.]

(22 marks)

- (B) Consider the following statement.

“Activity-based costing is just a more complicated way of dividing costs between products. Total costs don’t change anyway, so ABC isn’t worth the time it takes to complete.”

State whether you agree or disagree, discussing reasons for your answer.

(8 marks)

(Total: 30 marks)

QUESTION THREE

Angela French owns the ‘Angel Puppy Parlour’, a mobile pet grooming service. She is keen to expand the business and recently approached her local credit union for financial support. In advance of her next meeting with the credit union manager, she has been asked to provide projected costs for running the business. Lacking any knowledge of management accounting, Angela has approached you for help. She has made the following data available to you.

Month	Activity level (no. of clients)	Total costs
June	80	€4,100
July	130	€5,100
August	60	€3,700
September	30	€3,100
October	40	€3,300
November	100	€4,500

Required:

- (A) Prepare a scatter graph using the data provided by Angela (note: graph paper not required). Using your graph, determine the approximate monthly fixed cost and approximate variable cost per client.

(8 marks)

- (B) Angela anticipates serving 150 clients in December at a sales price of €40 per client.

- (i) Using the high-low method estimate **a cost function** for the business and determine the estimated total costs for December.
- (ii) Determine the budgeted **breakeven point** in units and sales revenues for December.
- (iii) Determine the estimated **profit or loss** and the **percentage margin of safety** for December.
- (iv) Explain the use of each of the bold, underlined terms in parts (i), (ii) and (iii) above to Angela in the management of the ‘Angel Puppy Parlour’.

(16 marks)

- (C) Distinguish between planning activities and control activities in management accounting, outlining how each can be of use to Angela in managing her business.

(6 marks)

(Total: 30 marks)

QUESTION FOUR

Consider each of the following statements. For each statement, state whether you agree or disagree, explaining your answer in each case.

- (A)** Only variable costs can be differential costs.
- (B)** Step costs and mixed costs are just different names for the same thing.
- (C)** As production increases within the relevant range, fixed costs per unit decrease.
- (D)** Galway Ltd's manufacturing overhead is 55% of its total conversion costs. If direct labour is €40,500 and direct materials are €45,860, then the manufacturing overhead is €49,500.
- (E)** Classification of costs into fixed and variable depends on the decision situation.

(5 * 6 marks each)
(Total: 30 marks)

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